

# Before we pay you

We need your **ABN** or a **signed hobby form** before your first royalty payment. Without one, the law says we have to hold back 47% of anything over \$75 and send it to the ATO.

## OPTION 1

### Get an ABN

Recommended

It's free and takes about ten minutes at [abr.gov.au](http://abr.gov.au). Apply as a sole trader, then send us the number.

You declare your royalties in your tax return, so it's worth putting a bit aside. You don't need GST unless your turnover hits \$75,000 a year.

■ You get **\$400** of a \$400 royalty

## OPTION 2

### Sign the hobby form

If this is a hobby for you rather than a business, sign the ATO's *Statement by a supplier* (NAT 3346). We'll send it over.

If you're earning regularly with us, the ATO may see it as a business, and the form won't cover you.

■ You get **\$400** of a \$400 royalty

## OPTION 3

### Do neither

We hold back 47% of each payment and pay it to the ATO for you.

It counts towards your tax when you lodge your return. We'll send you a payment summary after 30 June.

■ You get **\$212** of a \$400 royalty

■ **\$188** to the ATO

## Questions?

Email us at [hello@aviprep.com.au](mailto:hello@aviprep.com.au)

General information, not tax advice. A tax agent or the ATO can help with your situation.